Creating and Delivering Operational Plans

Lesson 1

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Study Information and Tips

This Study Text replicates the video content for the lesson

Supplementary knowledge can also be found in the information sheets and text boxes that accompany the videos, as well as in the resources in the Insights section

Activities to help you consolidate your knowledge are deliberately delivered through practice questions and exercises found in the Test and Apply sections on the VLE. These help you to further build on your knowledge and apply the learning in a way that supports your assessment

You can use this Study Text to test your understanding of the learning content at the end of each lesson. It may also be helpful to refer to it when preparing for your assessments

We recommend that you also produce your own notes in addition to the Study Text. Research has shown that handwritten notes can be very effective for learning retention

If you decide to print this Study Text, set the layout to print 4 or 6 slides per page to save on paper and ink

The Principles and Context of Operational Planning

The concept of operational planning and its wider environment

The broader context that influences planning decisions

How operational plans work within the organisation's own policies and practices

Operational Planning

In the early 1900s, the 'father of modern management', Henri Fayol, identified planning as one of the key activities a manager undertakes. He said: 'To manage is to forecast and to plan' as well as to organise, coordinate and control.

Over a hundred years later planning is no less significant for managers. It is the manager's link between the present and the future – a way to ensure all the other activities that meet their objectives can be carried out.

Plans can take one of several forms, depending on the level of decision-making involved; in this unit we'll focus on 'operational' planning.

Operational Plans

Operational plans are ‘short-term, highly detailed’ and aim to achieve ‘tactical objectives.’ In other words, these are practical plans which focus on the day-to-day operations of the company in the near future.

Operational planning is actually the middle level of planning for an organisation. It’s the point at which the company’s longer term, ‘strategic’ goals are translated into short term objectives of three, six or 12 months. The operational plan will include details on the activities that will achieve these objectives, and the individuals and teams who will carry them out. The plans explain what is to be done, when it should be done, how and by whom.

Operational Plans (cont.)

Operational plans are created by the organisation’s middle management – often the heads of various departments, like marketing or IT. There will typically be several of them in progress at once, one in each department or function. The exact number will depend on the company’s industry, its size and the product or service it offers.

However, regardless of context, all operational plans must reflect the organisation’s higher, more ‘strategic’ objectives.

Strategic Objectives

These objectives are set by senior management, during the separate process of 'strategic planning.'

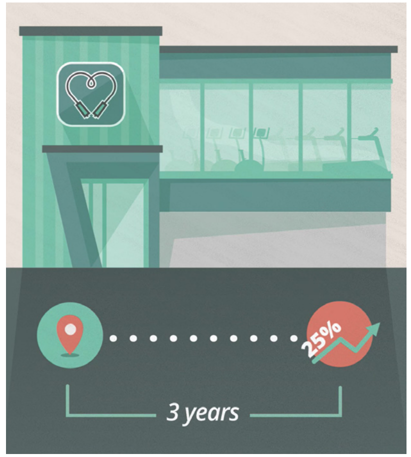
Strategic planning can be defined as:

'A systematic process of envisioning a desired future, and translating this vision into broadly defined goals.'

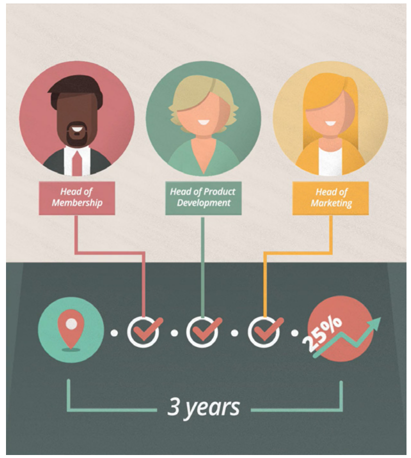
These are long term objectives that typically cover a period of three to five years, and take in the company's whole approach to its development.

Strategic Objectives – Example

Operational planning is the link between these higher level objectives, and the everyday work that turns them into deliverables.



For example, let's say a fitness company has a strategic objective to grow its business by 25% over the next three years. This will be embedded in its strategic plan.



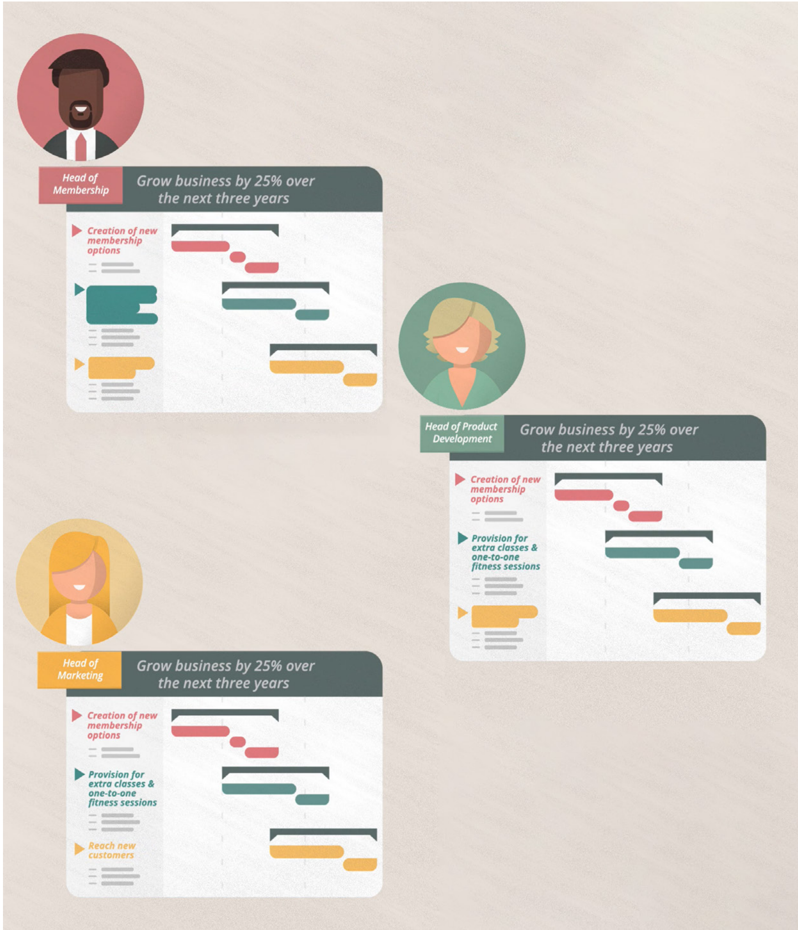
The company's middle managers will then narrow down this goal into objectives for their particular departments, and include them in their operational plans. The objectives here will reflect the connections of the departments to one another.

Strategic Objectives – Example (cont.)

For example, one growth strategy for the fitness company will be to attract new gym members. So its Head of Membership will include the creation of new membership options in their plan.

To make these options more attractive, the company will also need to increase its customer offer. So the Head of Product Development will create an operational plan that includes provision for extra classes, and one-to-one fitness sessions.

And the Head of Marketing will use both of these plans to support their team's campaign to reach new customers.



Operational Objectives

Each of the operational plans will affect and be affected by the performance of the others. Without successful marketing, new classes will not attract enough customers to justify the cost to run them. And without an attractive offer, even the best marketing efforts could fail.

The team activities set out in the operational plans may be overseen by a lower layer of managers, known as 'team leaders,' or by the operational planners themselves, depending on the size of the company.

To deliver the plan, they will need to break down operational objectives into even smaller team and individual objectives.

Team/Individual Objectives

For example, the fitness company's marketing team objective may be to identify what current customers value most about their membership. This may result in team and individual objectives to survey current customers, and analyse the findings.

The aim is always to align the operational aspects of the plan to the organisation's strategic goals. This is important on both the team and individual level. Knowing that their work contributes to a larger purpose can motivate employees, and help to improve future performance.

In fact, a company's plans are driven by an even higher purpose than its strategy. Every organisation has an underlying mission, vision and values, which guide all of its decision-making.

Mission, Vision and Values

We've seen that an operational plan refines the objectives identified during strategic planning, so that they can be put into action.

However, both types of plans exist within a wider context of the organisation's purpose – what it ultimately aims to achieve and how it aims to get there. This purpose is reflected in the company's mission, vision and values – the underlying beliefs the company has about itself, and which drive all of its actions.

These are often expressed as statements which the company shares with its employees and the wider public.

Mission and Vision

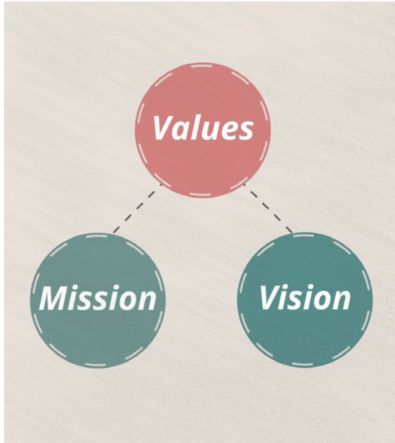
The 'mission' is the reason it exists, and often relates directly to its industry or product. For example, the mission of messaging platform Slack is to 'make work life simpler, more pleasant, and more productive.'

The organisation's 'vision' is the way its leadership sees the company operating in the future. This often goes beyond its product or service to take in a bolder goal.

For example, the social networking site LinkedIn's vision statement is 'to create economic opportunity for every member of the global workforce.'

Values

Both the company's mission and vision will be connected to its values – the deeply held beliefs about how it should operate. Values guide employee behaviour within and outside the organisation, and underpin all its operations. Some companies make their values public, often in the form of a list of behaviours, or a code of conduct.



For example, the list of values at the beauty retailer The Body Shop includes 'activate self-esteem,' 'defend human rights,' and 'protect the planet.'

Following these values will affect many of the company's decisions, both strategic ones like which investors to partner with, and operational ones, like whether to switch from plastic to paper packaging.

Strategic Alignment

The mission and vision of a company are also deeply connected to the planning process. They underpin the company's strategy, which is reflected in its operational planning, and the implementation of those plans.

When all these elements work together to their best effect, the organisation reaches 'strategic alignment.'

According to consultant Joe Evans this kind of alignment is required for strategies to be implemented successfully.

The Golden Thread Model

A company can spend considerable time developing the perfect strategy, but this will be meaningless if it's unable to 'cascade it' down to its employees.

The CMI's 'Golden Thread' model illustrates how alignment works in practice.

It's shown as a two-way process, starting with an organisation's vision and mission, and getting progressively more detailed as it moves down through each activity.

The Golden Thread Model (cont.)

First, the company's senior management team defines a 'corporate plan.'

The corporate plan sets out what a company's business activities will be in the future, including what products it will produce, where it will sell them and how much profit it will try to make.

Second, senior managers define the strategic plan. Here they set the strategic objectives, and the parameters for when they'll be achieved – usually a few years.

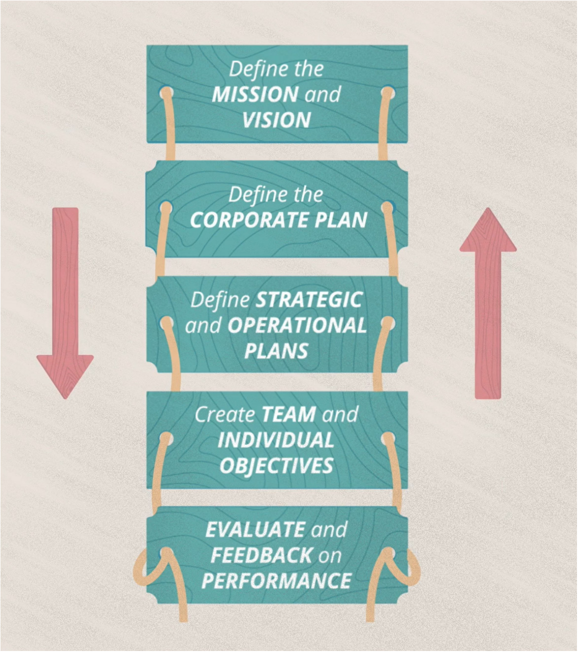
The middle managers, in turn, define their operational plans, by narrowing strategic objectives and timescales to a few months.

The Golden Thread Model (cont.)

Third, middle managers or team leaders use these to create team and individual objectives.

And finally, the actions that result from the plans are evaluated, to see what worked and what didn't.

When feedback on the results is communicated back up the hierarchy, the process repeats itself in reverse.



The Golden Thread Model (cont.)

So a company's vision and mission moulds its plans, which help determine team and individual objectives. But the feedback from these individuals and teams also affects their objectives. These changes, in turn, influence the plans, and ultimately, even the company's mission and vision.

Whether moving up or down, the activities at each level influence the decisions made on the next one.

The Golden Thread Model (cont.)

The Golden Thread makes both relationships and responsibilities in the company visible, and according to the CMI, ‘ensures that individuals are aware of and accountable for their piece of the whole.’ It provides a ‘line of sight’ for employees, to see how their work fits within the larger company vision. This in turn makes success more likely as everyone in the organisation is heading in the same direction.

As you can see, operational planning is a bridge between different levels of activity in the company. It’s the point where strategy is turned into deliverables.

Ethics

You've likely heard more than one story about unethical practices in business. Whether it's child labour in clothes manufacturing, or cheating on emissions tests, the news is full of such stories.

But what exactly are ethics, and how do they impact the process of operational planning?

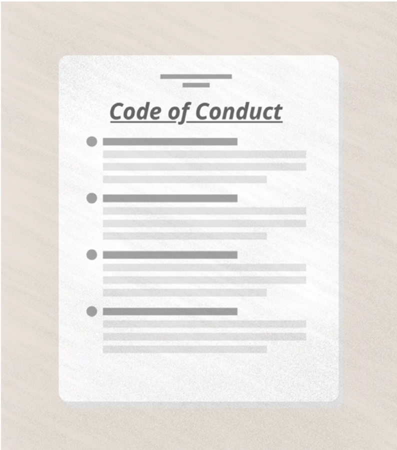
Ethics are moral principles that govern how people – or companies – treat each other and do business. They are founded in values; not just the values of a particular organisation, but fundamental ones which guide us as human beings: fairness, honesty and equity to take just three.

Ethical Standards

Ethics set the standards for behaviour by the organisation, both internally and externally.

These standards are sometimes made explicit in ‘codes of conduct’ that all employees are expected to follow.

For example, Google’s famous ‘don’t be evil’ slogan is complemented by the company’s code of ethics, which obligates employees to: ‘preserve confidentiality,’ and ‘respect each other.’ A code like this may guide the direction of many operational decisions – such as those regarding the allocation of work, or the awarding of contracts.



Ethical Standards (cont.)

Internally, high ethical standards can help create a workplace culture where all employees are treated with equal respect, and work is allocated fairly.

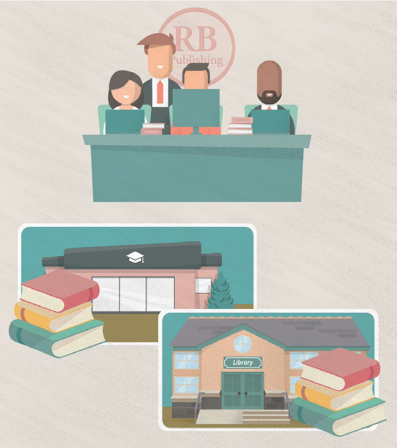
Externally, they can guide relationships with customers, suppliers and regulatory bodies. Treating these groups fairly is essential to maintaining the company's reputation, and therefore keeping it viable in the long term.

Areas of Responsibility

The academic Archie Carroll sees ethics as one of four areas of responsibility that drive a company's actions and decisions.

These are often shown in ascending order; at the bottom are economic responsibilities – to make a profit or reduce costs. Next are legal constraints – the need to obey the law. One level higher are the ethical responsibilities – to do what is right and avoid harm to others.

And finally, at the top, there are 'philanthropic' responsibilities – the obligation to be a good corporate citizen. Philanthropy may be defined as promoting social change through the investment of wealth, time and knowledge to a cause. This is often done at a distance. For example, a publishing company may set up a charity arm to support local schools and libraries by donating books to them.



Corporate Social Responsibility

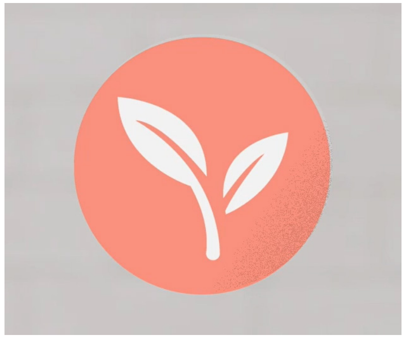
Philanthropic activities are now often included under the umbrella of Corporate Social Responsibility, or CSR. This goes beyond traditional philanthropy, in seeking to make the core business functions of a company more ‘sustainable’.

CSR is defined as ‘a company’s sense of responsibility towards the community and environment, both ecological and social, in which it operates.’

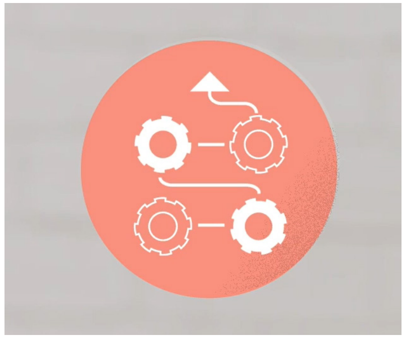
In other words, it’s a way for organisations to claim ownership of their impact in the world, and to ensure it is a good one.

Corporate Social Responsibility (cont.)

In recent years, CSR has evolved into a core element of many business operations. This is due to a greater awareness of how corporate decisions affect the wider society, and how this in turn affects the company.



In operational planning, CSR is both a means to make operations more ethical or 'green', and at the same time to improve the way they function. This is because operational objectives, like increasing efficiency and reducing waste, serve dual purposes. They help the company financially, but also create wider social benefits, like reduced emissions, more recycling and better working conditions.



B Corporations

Some organisations take these concerns one step further by becoming certified B Corporations. These companies submit to a stringent evaluation of their policies and practices; the goal is to let stakeholders know they meet the highest standards of social and environmental performance.

While voluntary, B Corp status imposes a major obligation on a company, and acts as a code of conduct they must adhere to in all their dealings. Among the guiding principles of B Corp is that, through their operations, businesses should aspire ‘to do no harm and benefit all.’ This level of commitment will inevitably impact a company’s mission and vision, as well as their planning process.

Legal Responsibilities

So far we've seen how economic and ethical considerations influence an organisation's planning. However, you might remember that there is another level in the diagram of responsibilities we saw previously. This represents legal responsibilities – companies operate within the UK's legal frameworks, and they must obey the law.

These frameworks regulate all aspects of operations, from commercial transactions to conditions for employees. They include a number of Acts and Regulations, which set minimum requirements in these areas, and control the activities related to them.

The Health and Safety at Work Act 1974

Two of these are especially relevant to the process of operational planning.

First, there's the law relating to the workplace environment. The Health and Safety at Work Act 1974 is the primary piece of legislation in this area, covering occupational health and safety in the UK.

The Act sets out what employers must do to maintain a safe workplace – for example, by training employees in fire safety. The goal is to protect the wellbeing of workers at all times.

The Health and Safety at Work Act 1974 (cont.)

Operational plans that don't conform to the requirements set out in the Act risk accidents, increased costs and even prosecution.

In fact, planning is the key to ensuring that health and safety arrangements really work. This is because it allows managers to think through activities and anticipate their impact before they are implemented.

As they put together the operational plan, managers need to decide how the individuals assigned to the work and anyone else on the premises will be kept safe.

The Health and Safety at Work Act 1974 (cont.)

This will include consideration of what could harm people, and whether enough is being done to prevent that harm. Where improvements must be made, these should be prioritised over other production or output demands.

The plan should also identify who will have oversight of health and safety, what their duties will be, and how these will be monitored.

While most workplaces pose limited risks to people, hazards can vary depending on industry. Without careful planning in a laboratory setting, for example, people could be exposed to biological or chemical hazards.

The Working Time Regulations 1998

Another key piece of legislation which impacts planning deals with the frequency and duration of work. The 1998 Working Time Regulations lay down the minimum conditions relating to weekly work hours, rest entitlements and annual leave.

The aim of the regulations is to protect people from being compelled to work excessively long hours, or work without breaks or holidays.

Under the law, a manager can’t ask employees to work an average of more than 48 hours a week over a period of 17 weeks, unless they have agreed to ‘opt out’ of the rules.

The Working Time Regulations 1998 (cont.)

Opting out can be useful when a new procedure is being established, or when work is seasonal – for example, in farming.

However, while it may allow for more flexibility, opting out could result in 'burnout', leading to lower performance. Managers will need to take this into account when considering the timescales in an operational plan.

Organisational Frameworks – Policies

As well as meeting legislative requirements, operational plans need to work within the company's own frameworks. These 'organisational' frameworks also dictate how employers and employees should act, but in more detail and with a narrower focus than legal frameworks. They usually take the form of 'policies' and 'procedures'.

A 'policy' is an overview of a company's position on an aspect of working life. Policies create frameworks for many of a company's key activities. For example, there may be policies on internet use at work, the recruitment of new staff and flexible working.

These draw on the company's values, and are unique to the context of each organisation.

Organisational Frameworks – Procedures

Policies are usually accompanied by ‘procedures’ – these are step-by-step guidelines that spell out how to implement a policy.

For the operational manager, policies set the guidelines for decision-making, and procedures give instructions on how the related tasks should be undertaken.

For example, when staff need to work additional hours to implement a plan, the manager will need to ensure this takes place within the boundaries of the company’s overtime policy. The policy will set out the rules about hours and amounts of payment. The corresponding procedures will detail how the additional work should be authorised and recorded.

Recap

In this lesson, you have learned about:

- The concept of operational planning and its wider environment
- The broader context that influences planning decisions
- How operational plans work within the organisation's own policies and practices